

Options for Salaried and Self-Employed

The choice of tax-saving instruments should be defined by your needs and objectives. Salaried people have the advantage of a fixed sum flowing into their Provident Fund account along with an equal contribution by their employer. This also means that the debt portion of their asset allocation is already taken care of. Some companies also offer group life cover and medical insurance to their employees as well as their families. Though employment in the private sector is not guaranteed, an individual need not buy a very large life cover and medical plan for himself and his family.



Self-employed people don't enjoy such benefits. For them, it is very important to build a retirement nest egg, especially because their income tends to be irregular. The irregularity of income also reduces the risk appetite of self-employed people compared to their salaried counterparts. They should invest in ELSS funds and other market-linked products after fully understanding the downside risks. Don't invest in these products if you need the money after a short while. Instead, try and build a bigger debt cushion by investing in instruments like the Public Provident Fund and pension products from mutual funds and life insurance companies. All these instruments qualify for the Section 80C exemption. The corpus built through these investments is especially handy in times like the slowdown which hit the economy in 2008.

On the other hand, there are certain benefits that are only extended to self-employed people. They can claim deduction of all expenses incurred by them relating to their work, right from the expenses incurred on rent and conveyance to the insurance paid for their car and the cost of their mobile phone. Even the depreciation on assets used by self-employed professionals are deductible. So, if you buy a laptop worth Rs 70,000 and a car worth Rs 4 lakh, you can claim 100% deduction for the laptop and 20% deduction for the car. Rent, business lunches, newspaper and journals, electricity charges, peon salary, telephone bills and sweeper's wages are some of the other expenses that are commonly availed as deductions.

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